



Exam
Strategic Management
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Emden, June 12th 2024

Fast and fearless: AirIndia meets America



Yummy Ideas in the Boardroom

It was a sweltering afternoon in Mumbai, and the Air India headquarters buzzed with the usual hum of activity. In the boardroom, however, the atmosphere was tense. Campbell Wilson, CEO of Air India since 2022, had just finished presenting the latest passenger statistics. Despite being the airline most Indians trust, international bookings were stagnant, and the competition was fiercer than ever.

"Look, we need something different," Wilson said, leaning forward. "We can't just rely on lower fares or more routes. We need a unique value proposition to attract international travelers."

Mira Patel, the Chief Marketing Officer, hesitated before speaking up. "What if we partnered with McDonald's?"

The room fell silent. Heads turned. Some eyebrows raised. McDonald's? The fast-food chain?

"Think about it," Mira continued. "McDonald's is trying to reposition itself as a premium food provider. We need to improve our in-flight dining experience. It could be a win-win."

Despite his British passport, Wilson had spent many years in India with his parents but had also attended college and university in America and Europe, giving him a blend of Eastern and Western thinking. What sounded crazy at first might be worth a second thought.

Background

Air India

Founded in 1932, Air India is the country's premier airline, known for its traditional hospitality. With over 60 international destinations, it's a key player in the aviation industry. However, stiff competition from other global airlines has pressured Air India to enhance its offerings. Their major goal is to enhance in-flight and lounge services to attract more international passengers.

McDonald's

Established in 1940, McDonald's is the world's largest fast-food chain. Recently, the company has been working to diversify its menu to include healthier and more premium options. This strategic shift aims to attract a broader and more discerning customer base. They would like to reposition themselves as a premium food provider and expand their brand perception beyond fast food.

Cultural Sensitivities and Menu Customization

"India is diverse," Wilson reminded the team. "We have vegetarians, vegans, and people who don't eat wheat products. How will McDonald's fit into this?"

"Exactly," Mira replied. "That's why it's a challenge. But if we can get McDonald's to offer a customized menu that respects these preferences, it could set us apart."

"McDonald's can leverage its experience in localizing menus," Arjun Menon, the Chief Operating Officer, suggested. "We've seen it with their McAloo Tikki burger.¹ We can work with them to create gourmet dishes that appeal to our passengers."

¹ When McAloo Tikki burger was first launched in India in the year 1998, menu localization was not a popular term. The recipe of the Aloo Tikki was time tested but no one knew the burger was in it for the long haul till it was actually launched. The McAloo Tikki Burger was a unique proposition that brought the familiarity of Indian cuisine and the novelty of the very humble potato patty being used to create a burger. <https://mcdonaldsblog.in/2018/05/the-wholesome-mcaloo-tikki-burger/>

"We have to be careful," Arjun continued. "Our brand is about traditional Indian hospitality. McDonald's is known for fast food. How do we reconcile that?"

"And don't forget aviation food safety standards," added Vikram Gupta, the Head of Compliance. "We need to meet strict international regulations."

Understanding the Customer

"We need to understand our customers better," Mira proposed. "Surveys, focus groups, data analysis – we need to know what they want and expect."

"But at first, a good analysis and brainstorming session with the experts will help us understand better the requirements and possibilities of such a strategic cooperation," Wilson added. "Afterward, we can start with a pilot program".

"Good idea," Wilson replied. "But before doing so, let some consultants develop, evaluate, and present our strategic options in this case to decide which one might be the most promising. And we need clear KPIs," Vikram said. "For example, customer satisfaction scores, repeat passenger rates, sales growth of McDonald's offerings. Regular reviews to assess and adjust our strategy."

Moving Forward

The room buzzed with excitement and apprehension. The idea was bold and fraught with challenges, but it could also be the game-changer Air India needed. Wilson and his team knew they couldn't evaluate the options alone. They quickly decided to fly in an expert team for strategic consultancy, simply called the "Master," from the small university town of Emden in the northwest of Germany. "Let's move forward with this," Wilson decided. "And I'll approach McDonald's and see if they're willing to explore this partnership."

Task Overview

Imagine you are part of the consulting team hired to help Air India and McDonald's navigate this partnership. Your task is to develop a comprehensive strategy that addresses the following:

Your presentation should contain the following points:

1. Introduction and objectives of the companies, fit with their visions and missions
2. Executive summary
3. Porter's Five Forces Analysis.
4. Value Chain Analysis.

Identify primary and support activities in the value chains of Air India and McDonald's that can benefit from the partnership. Highlight potential areas of cost savings and efficiency improvements. How could the value for the customer be increased by this cooperation?

5. Evaluation of strategic options using design thinking.

Use design thinking to brainstorm potential strategic initiatives.
Evaluate initiatives based on desirability, feasibility, and viability.
Select the most promising options and justify your choices.

6. Business Model Canvas with a detailed explanation of each component.

Develop a business model canvas outlining the partnership's value proposition, customer segments, channels, customer relationships, revenue streams, key resources, key activities, key partnerships, and cost structure.

7. Conduct a risk analysis for the selected option(s).
8. Conclusion and recommendations.

Note: You do not have to consider financials or timetables/ milestones in this presentation